new tokens are released and auctioned off to raise new funds. Assets--kitties, in this case--also appreciate or depreciate (value) based on demand and individual characteristics. Every asset is unique; one asset is not the same as the other. The kitties are not interchangeable. So these tokens are also non-fungible.

The Ethereum community designed a fungible and non-fungible token and a standard for each type. ERC20 is the fungible token, and thousands of exchangeable ERC20-compliant cryptocurrencies were deployed. ERC721 is the standard for a non-fungible token, and Cryptokitties, where it originated, made it famous.

Fun aside, you'll have to consider the ERC721 token model seriously. ERC721 applies to a broad range of non-fungible assets. It can represent a lot of use cases, from stocks and real estate to collectible art. Consider a ERC721 token to be a model for timeshare and rental properties--maybe even a piece of land on Mars. The possibilities are endless.

In section 9.2, you'll explore an ERC721-compliant token representing real estate assets.

9.2 RES4: Non-fungible real estate token

Property ownership--including land ownership, housing, and real estate--has been a tricky problem everywhere on earth since the dawn of history. Many wars and feuds are about land assets. Let's consider real estate to be a non-fungible asset and then design and develop a token Dapp for it. It is worthwhile to note that even though real estate is the asset of focus in this